

view bitcoin's Sharpe ratio every full year from 2011 through 2016.

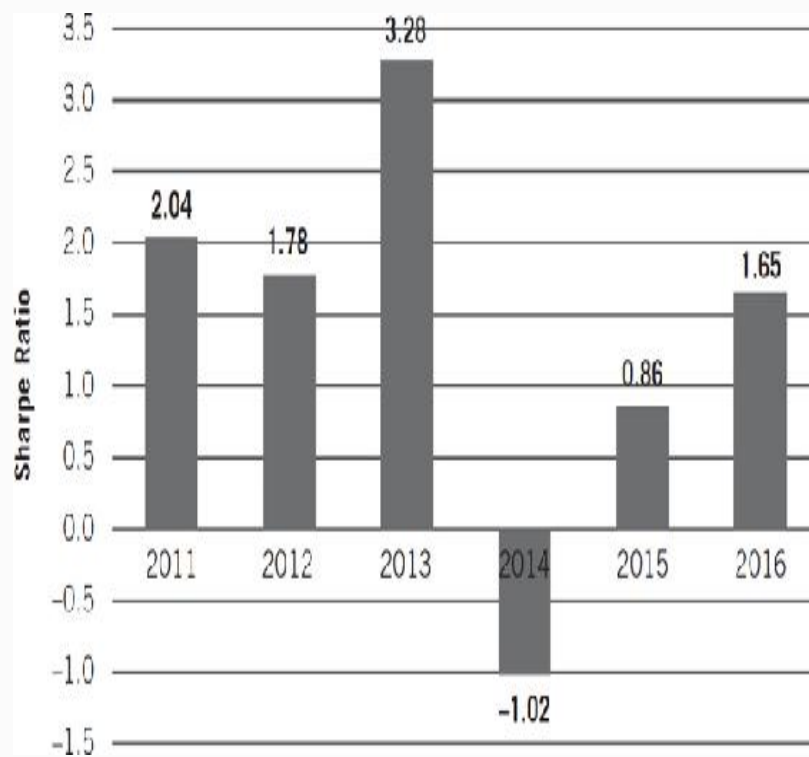


Figure 7.15 ■ Bitcoin's annual Sharpe ratios since the start of Mt. Gox
Data sourced from CoinDesk

The year 2014 was the only time bitcoin had a negative Sharpe ratio, when it lost 60 percent of its value from the start to the end of the year. Recall that 2014 was the year of bitcoin's painful decent from its late 2013 high to its early 2015 low, with Chinese regulations, Mt. Gox implosions, and Silk Road associations plaguing the price of the asset.¹⁰ Meanwhile, 2016 was bitcoin's best risk-adjusted return year since 2013. Digging into the comparison between 2013 and 2016, it's remarkable that 2013's Sharpe ratio was only double